

Advanced Macroeconomics

7SSPN402

Department of Political Economy
King's College London
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Instructor:

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Please read every section of this Syllabus fully and carefully before the module starts!

I. Module Outline

The aim of this module is to develop students' knowledge and skills in macroeconomic theory and to provide them with tools to address macroeconomic questions in practice. The module covers the main research topics in macroeconomics and is divided into three parts: (A) long-run growth; (B) short-run fluctuations; (C) key markets in the economy.

In Part A, the module discusses the modern treatment of growth models, focusing on neoclassical models and endogenous growth models. We will also analyse the role of history, institutions, geography and culture as fundamental causes of economic growth.

In Part B, the module studies Real Business Cycle theory and introduces students to state-of-the-art New Keynesian macroeconomic theory.

In part C we will introduce, develop and critically discuss modern models of financial markets and the labor market.

These three parts together will allow students to have a comprehensive introductory overview of modern macroeconomic theory.

II. Educational Aims & Learning Outcomes

This module aims to:

- Provide students with an understanding of modern macroeconomic theory, including growth models, real business cycle models, New Keynesian models, models of financial markets and of the labor market.
- Allow students to understand and analyze macroeconomic policy.
- Provide students with advanced skills and knowledge to critically address contemporary macroeconomic issues, such as growth, inflation, unemployment, and financial instability.
- Provide students with the skills to implement macroeconomic models and use their skills to address macroeconomic policy and macroeconomic data.

By the end of the module, students will be able to:

- Understand the importance of macroeconomic models in the shaping of contemporary macroeconomic policy
- Understand the advantages and limitations of modern macroeconomic theory
- Use macroeconomic models to analyse macroeconomic issues and policy responses
- Contrast predictions of macroeconomic models with data.

III. Course Organization, Materials and Resources

A. Lectures and seminars

The course consists of 10 weekly two-hour lectures and 5 biweekly one-hour seminars. Please consult [your timetable](#) for the time & place of lectures and seminars.

a. Laptop ban in Lectures

The use of laptops, tablets, smartphones and any other similar device is banned during this module's lectures.

There is a lot of convincing research (see for example [here](#), [here](#), [here](#) or [here](#)) showing that college students learn less and earn worse grades when they use computers, tablets or smartphones during lectures, and that a student's use of a laptop harms also the learning of students around them. My personal experience confirms that. These negative effects are present even when laptops are exclusively used for taking notes (which they rarely are). If you have a valid reason for using your laptop or tablet in class (for example learning disabilities), we can discuss an exception.

Unlike lectures, the use of laptops is occasionally allowed in seminars to

consult lecture materials while doing practice exercises.

Of course, you can (and should) still use your electronic device to register your attendance on Venio when needed, including in the lecture if the Venio QR code is being shown.

B. Textbook

David Romer, Advanced Macroeconomics, 5th edition, 2018

The textbook is available to read online in eBook format through King's Library (<https://ebookcentral.proquest.com/lib/kcl/reader.action?docID=5662595>). There might also be a limited number of physical copies in the library that those of you who prefer a physical book can borrow. Of course, you always have the option to buy a physical copy of the book if you prefer.

C. Keats

Keats will be used to upload materials, make announcements, and administer assignments and quizzes.

D. Weekly readings

Reading regularly is key to success in this course. Every week, you will be assigned a reading, *to be done before the lecture*. The expected calendar of readings is outlined in Section V below.

E. Communications

I will often send you emails and post new materials on Keats. *To succeed in this module, you will need to stay updated by checking your KCL email and the Keats page of the course regularly.*

F. Contacting the instructor and office hours

The best way to get in touch with me is to send an email. Also feel free to talk to me before or after class (although at times I might be running to another class or meeting and not have time – but it is always ok to ask!).

Office hours are on Monday 11.30 - 12.30 and Thursday 11.00-12.00, either in person in my office or online on Microsoft Teams. To attend office hours, you must book in advance by emailing me.

If you have feedback or concerns, feel free to bring them up with me (sooner rather than later) – I will do my best to address them.

G. Policy about extensions requests for coursework

Please note that, per King's policy, the instructor cannot grant extensions for coursework. King's has a process called 'mitigating circumstances', where students can request deadline extensions on coursework if they are facing difficult

circumstances. You can find information online, for example here:
<https://www.kclsu.org/help/advice/academicsupport/mc/>

IV. Module sections and topics

1. Introduction

Part A: Long-run growth

2. Economic growth (I): the mechanics of capital accumulation and growth

2.1. The Harrod-Domar growth model

2.2. The Solow growth model

2.3. Ramsey-Cass-Koopmans model & Overlapping Generations model

2.4. Endogenous growth theory

3. Economic growth (II): Ideas, history, geography and institutions

3.1. Fundamental causes of growth: Geography, institutions, and culture

Part B: Short-run fluctuations

4. Fluctuations I: Real Business Cycle theory

4.1. The RBC model

5. Fluctuations II: New Keynesian theory

5.1. Key elements of New Keynesian theory: The IS and PC curves

5.2. A simplified New Keynesian model

Part C: Key markets in the economy

6. Financial markets

6.1. Money and financial markets

6.2. Financial instability: the Diamond-Dybvig Model

7. Labor market

7.1. Efficiency-wage models

7.2. Search and matching models

V. The Plan

Following is a *tentative* schedule for the course. Take it as a broad indication: it is subject to change based on how fast or slow we will go as a group. Any change will be announced in advance as much as possible. Please refer to Keats for an updated schedule and for all module deadlines.

Week	Reading (due before lecture)	Lecture Day & Topic	Seminar Topic
7	Lecture notes	<i>Oct 2</i> Macro facts & brief history of Macro; Harrod-Domar growth model.	-
8	Romer Ch.1	<i>Oct 9</i> The Solow growth model	Practice session: Solow growth model.
9	Romer Ch.1	<i>Oct 16</i> Ramsey-Cass-Koopmans model & Overlapping Generations model	-
10	Romer Ch.3	<i>Oct 23</i> Endogenous growth theory	Practice session: RCK, OLG, Romer models
11	Romer Ch.4 + other materials on Keats	<i>Oct 30</i> Fundamental causes of growth: History, geography, culture, and institutions	-
12	No new reading	Reading week (Nov 2 to Nov 6) No lectures or seminars.	
13	Romer Ch.5	<i>Nov 13</i> The Real Business Cycle model	Practice session: RBC model
14	Romer 6.1 & 6.4 + lecture slides.	<i>Nov 20</i> Key elements of New Keynesian theory: The IS and PC curves	-
15	Lecture notes + Romer 7.8	<i>Nov 27</i> A simplified New Keynesian model	Practice session: New Keynesian theory
16	Lecture notes + Romer Ch.10	<i>Dec 4</i> Financial markets	-
17	Romer Ch.11	<i>Dec 11</i> Labor market	Practice session: Financial markets & labor market

Romer = David Romer "Advanced Macroeconomics", 5th Edition
Each week's reading is due before the weekly lecture.

VI. Assessment Methods

The course requirements consist of:

- Coursework Assignment: 30%
- Final Exam: 70%

The (take-home) coursework will consist in a set of exercises. It will be administered and submitted via Keats. It will be due on 21 December 2026 at 3pm (date to be confirmed).

The date of the final exam will be communicated to you by the post graduate program.

VII. Use of AI software

On this module, you are not permitted to use generative AI to plan, structure, or write your coursework assignment (either in part or in full) for you. You can use spell checkers or grammar checkers to double-check text you have written. You can use translation software to translate *individual sentences* from your first language to English (but you cannot use software to translate whole sections of text, because that would violate King's academic misconduct policies). However, **the use of generative AI tools to produce output which is then copied as part of a submission is not appropriate.** This is in line with the 'minimal' criteria of appropriate use as set out in the [College's student guidance](#).

Most basically, please be aware of, and fully comply with, the first 'golden rule' of AI use at King's: ***"Never copy-paste text generated from an AI prompt directly into summative assignments"***

If there is clear evidence that you have used generative AI in this way, then we will treat it as a case of academic misconduct. This, unfortunately, has happened in past editions of this module, including last year. This could involve your essay being referred to Student Conduct and Appeals, who will invite you to attend an Academic Misconduct Committee. Cases where students use generative AI to write their essays for them may be treated under the offence of 'Third-party involvement', for which the penalties include expulsion from the College.

For more details, see the 'Generative AI guidance' document on the Keats page for this module.

VIII. Accommodations for disability

King's is committed to disability equality and inclusion so that all disabled people and those with long term conditions are included and feel valued, and that barriers are

understood and overcome.

For more information:

<https://www.kcl.ac.uk/disability>

IX. Academic honesty & integrity

Please make sure you are familiar with King's policy on academic honesty and integrity, and with the guidelines on avoiding plagiarism.

<https://www.kcl.ac.uk/policyhub/academic-misconduct-policy>

<https://self-service.kcl.ac.uk/article/KA-02143/en-us>